IgniteX

CONCEPT BOOKLET

Module 4

Lesson 2: Review Industry Trends and Estimate Market Size (TAM)

Context:

After identifying your local and global competitors, the next step is to estimate your market size. This is important because it helps you understand the potential demand for your product or service within a specific market. Estimating market size using industry trends is key because it uses current data and patterns to forecast future demand and growth possibilities. By keeping up with industry trends, companies can make smart decisions about developing products, launching marketing efforts, and setting investment priorities. This knowledge allows businesses to respond effectively to changes in consumer behavior and technological developments.

Program overview, and your Venture Journey over 14 weeks

1. Problem Identification	2. Customer Identification & Needs Validation	3. Solution Idea Generation
Week 1	Weeks 2-3	Week 4
▪ Orientation ▪ Develop Macro Industry-Problem view ▪ Discover 'Real World' Problems ▪ Analyze Problems	▪ Identify customer segments ▪ Outline 'jobs-to-be-done' ▪ Develop Initial Customer Personas ▪ Understand Customer Validation ▪ Validate Customer-Problem fit ▪ Refine Customer Personas & Problem	▪ Understand Ideation techniques ▪ Generate Solution Idea ▪ Map Solution-Problem fitment
4. Opportunity & Competition Mapping	**5. Prototype Development & MVP**	**6. Opportunity Feasibility Assessment & Sizing**
Week 5	Week 6	Week 7
▪ Identify & map Global competitors ▪ Review Industry Trends ▪ Size the Market	▪ Understand Prototypes & MVP ▪ Build a Prototype ▪ Use Prototype for early Validation	▪ Determine your Relative Market Position ▪ Estimate Opportunity Size and its Scope
7. Business Modelling	**8. Marketing & Sales Strategy**	**9. Financial Management for Profitability**
Week 8	Week 9	Week 11
▪ Understand Revenue Model ▪ Understand Lean Canvas ▪ Build the LC for your Startup	▪ Understand Marketing & Sales ▪ Understand & Define Go-To-Market (GTM) approach ▪ Understand Sales Process	▪ Understand Startup Costs ▪ Understand Profitability ▪ Getting Started with Financial Planning ▪ Understand & Explore Bootstrapping options
10. Team & Talent Requirement	**11. Orientation for Scale**	**12. Venture Idea Feasibility Presentation**
Week 12	Week 13	Week 14
▪ Building a Founding team (A Team) ▪ Founding team members (Co-Founders & Mentors) ▪ Defining your Team Requirements	▪ Thinking Beyond the Prototype - Scale Opportunity & Orientation ▪ Getting Story Telling Right ▪ Pitch preparation	▪ Practice Pitch ▪ Final Pitches

Concepts Covered in this Lesson:

Reviewing Industry Trends:

- Understanding Ecosystem stakeholders.
- The need to review macro industry trends.
- How macro trends influence industry.

Market Sizing:

- The importance of market sizing.
- How to go about estimating your market size.
- Deriving your TAM (Total Addressable Market)

After completing this lesson, you will be able to:

1. **Identify the various stakeholders in the ecosystem who are likely to influence your market.**

2. **Understand how to map out industry trends.**

3. **Identify the key factors that could enable or oppress your startup.**

4. **Estimate the Total Addressable Market for your product or service.**

Steps for you to take:

1. **Review and analyse Case Study I and II for your chosen industry.**

2. **Identify your stakeholders.**

3. **Identify the growth drivers, future trends and challenges of the chosen industry**

4. **Use tools like ChatGPT to estimate your TAM.**

Understanding Ecosystem Stakeholders

Understanding ecosystem stakeholders' influence on a startup's operations in the market is essential for navigating complexities and maximizing opportunities. These stakeholders include suppliers, customers, competitors, government agencies, investors, and more. Their influence can shape various aspects of a startup's operations, from supply chain dynamics to regulatory compliance and market positioning.

For instance, suppliers impact product quality and cost, while customers' preferences drive sales and product development. Competitors' strategies affect market dynamics, and government regulations can dictate market entry barriers. Investors' decisions influence funding availability and strategic direction. By comprehensively analyzing and engaging with ecosystem stakeholders, startups can adapt their operations, mitigate risks, and leverage opportunities for sustainable growth and success. Startups risk ignoring potential allies, adversaries, and influencers by underestimating certain stakeholders.

Understanding Macro Trends Influencing Industry

Analyzing the macro conditions is critical for assessing the viability of a new startup because these conditions can determine the overall business climate in which the startup will operate. For example,

- **Positive Economic Trends for Startups: Increase in venture capital availability.**

This helps fuel growth, hire talent, invest in research and development, with the potential to expand to new markets. For example, a startup entering cutting-edge fields like AI or renewable energy may find many investors who would want to invest in innovative ideas that align with consumer preferences and investment trends.

- **Negative Economic Trends for Startups: Economic Recession.**
Consumers and businesses typically cut spending during a recession as overall economic activity slows down and credit markets tighten. Startups may struggle to find customers, ending up with reduced revenue from existing customers with less access to capital.

Factors Affecting Industry Trends

1. **Economic conditions:** Economic indicators such as GDP growth, unemployment rates, and consumer confidence are important to consider.

   E.g. Low interest rates make it beneficial for startups, which often rely on external financing to get off the ground. Low interest rates reduce the cost of borrowing, making it easier for startups to finance operations.

2. **Social factors:** Demographic trends, urbanization, cultural norms, and changes in consumer behavior can influence the demand for a startup's products or services

   E.g.The aging population in China is creating a growing market for healthcare and elder care services. There's a growing trend towards sustainability and eco-friendly products in the U.S.

3. **Political environment:** A supportive political environment may provide incentives for entrepreneurship, while a restrictive one could impose barriers to entry.

   E.g.Startups in China must align with the political doctrine, especially in sectors like media and education, where content and curriculum can be sensitive

4. **Tech advances:** The rate of technological innovation can create new opportunities for startups or render existing products obsolete.

   E.g.India's telecom revolution, led by Jio, has dramatically increased internet accessibility, opening up markets for startups in e-commerce, online education, and remote services. The advent of AI technologies like ChatGPT has opened up several new opportunities in education, customer care, etc.

Why is market sizing important?

Market size is the total potential demand for a product or service. This number usually calculates the number of potential customers, units sold, or revenue generated. So, market size is an estimate of the overall market reach.

Market sizing helps in:

- Identifying potential growth pathways
- Aids in identifying the segment with the most potential, and also
- Helps identify potential gaps and challenges

Understanding "Market" terminology

Market Share: The percentage of the total sales in a market for product/s fulfilling a certain market need captured by a company, product, or brand, often used as an indicator of market competitiveness.

Market Trends: Patterns or shifts in the industry relating to demand, supply, pricing, affordability etc. of products, services that indicate the general direction of a market**.**

Stakeholders: Stakeholders are individuals, groups, or entities who have an interest or stake in the operations, outcomes, or decisions of a company or project. They may include shareholders, employees, customers, suppliers, government entities, and the local community.

Macro trends: They are broad, long-term patterns or shifts in society, technology, economics, or culture that impact industries and markets.

The Total Addressable Market (TAM): The total possible market for your product or service, without limitations of geography, competition, distribution, or product features.

Serviceable Available Market (SAM): The portion of your TAM that your product or service can reach given geographical constraints, regulations, capabilities, etc.

Serviceable Obtainable Market (SOM): The portion of the market you can realistically capture in 2-4 years based on the current product, plans, resources, GTM activities, etc.

Growth rate: The rate at which a business, market, or economy increases or expands over a specific period, often expressed as a percentage.

Call-To-Action

Complete Venture Activity 4.2 & 4.3 - Analyze Macro Trends and Analyze Industry Size & Trends

Analyze Macro Trends for your chosen industry.

Map your opportunity: Identify the attractiveness of the industry, including factors like:

1. Industry size
2. Industry growth trends
3. Industry opportunity domains
4. Major industry disruptors

(ref: Industry Case Study I and II)

Analyze the industry size and trends.

Estimate the total customer segment size (TAM) for your venture solution based on

1. Assumptions provided.
2. Evidence of industry growth rates that you discover.